

32%, 21%, 14%, 27%, another 27%, 28%, 49%, 45%, and 50%. Each one of these moves lower led to buyers jumping in to take advantage of discounts, only to see the subsequent rally fail. New lower lows occurred, with fewer dip buyers each time. This is how we eventually work our way toward what technicians call a “sellers’ exhaustion.”

- **Volatility is a two-way street:** Risk and reward are two sides of the same coin. Very often some of the biggest gainers give back more than average. In the 1990s, the Nasdaq outperformed the S&P 500, which regularly beat the Dow Industrials. The crash saw the NDX 100 fall 83%, the S&P was down 49%, while the DJIA fell only 38%. As my friend J.C. Parets, a technical trader, likes to say, “The bigger the top, the harder the drop.”
- **Regret minimization:** I’ll share the details in a later chapter, but when you are sitting on immense gains, especially in your employer’s stock or your own start-up, taking something off of the table can be a smart move. You still have lots more stock, so if the market continues to rally you participate; if it doesn’t at least you have something to show for it.
- **Other asset classes lessen the pain:** A popular mid-1990s trade was to sell some stock to buy real estate: I vividly recall clients rolling out of equity to buy vacation properties, bigger homes, shorter commutes, or nicer neighborhoods. Some rationalized the swap as stocks continued to rise as a fair exchange, but they were delighted after the crash. Not everyone was so lucky.

Bull markets have a tendency to run much further and longer than even the most optimistic investors expect. What most people imagine as the last at bats of a game is often only the 5th or 6th inning of a secular bull market that continues for years.
